



Japan's Yen Intervention Playbook Has a Second Act

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Japan just spent a record \$74 billion defending the yen. It didn't work. The yen is back where it started. And if history is any guide, that's not the end of the story, but it's the setup for round two.

History lessons

The Ministry of Finance has run this exact playbook twice before. In 2022, they intervened during the September holiday period, the yen bounced, then drifted back. A month later they came back in October with twice the firepower. The yen moved from 151 to 127. In 2024, they intervened in late April and May with a massive operation across Golden Week when holiday liquidity made every yen go further. The yen bounced, then drifted back. Then in mid-July, right after a soft US CPI print, they came back again. The yen moved from 161 to 142. Those second rounds stuck.

Two episodes. Two cycles. Same playbook.

We're now in cycle three. Episode one is done with ¥11.73 trillion deployed across April 30, May 1, and May 4, targeting Golden Week liquidity. The largest intervention since 2003. And USD/JPY is already back above 162. Episode two is due.



The IMF constraint

There's a technical ceiling here that's worth understanding. The IMF classifies a currency as "freely floating", which is the gold standard for international credibility, only if a country conducts no more than three intervention episodes within any six-month window. Up to three consecutive business days counts as one episode. Japan used episode one across Golden Week.

The reporting period runs to November. That leaves two episodes available to utilize. After that, the IMF reclassifies the regime and the diplomatic pressure escalates sharply.

So they have capacity. And based on the last two cycles, they intend to use it.

The July window

Markets are currently fixated on the July 4 US holiday. The logic is straightforward: thin liquidity, same rationale as Golden Week, Finance Minister Katayama has already issued verbal warnings that authorities are ready to act "at any time." USD/JPY at 162.5 is already above the upper bound of what Tokyo has historically tolerated.



But July 4 is probably not it. And here's why.

What made the July 2024 intervention actually work and not just produce a one-week bounce was the sequencing. Japan PPI printed on Wednesday. US CPI came in soft on Thursday. Intervention hit before weekend. That same data calendar is lining up again right now. Japan PPI for June prints July 10. US CPI for June prints July 14. Intervening before those numbers means spending billions into a static market with no data catalyst to extend the move. That's wasteful. Tokyo knows this. They did this before. They will wait.

The window forms approximately July 15 to 17. Post-CPI, post-PPI, heading into a weekend, building the exact mirror of what worked last time.

How big and how effective

In 2022, Japan was testing uncharted waters, given they hadn't bought yen to support the currency in 24 years. The first intervention was highly telegraphed, but the market pushed right through it. At the time, the BOJ was actively undermining the MOF: while the MOF was spending billions to prop up the currency, BOJ Governor Kuroda kept doubling down on ultra-loose monetary policy and negative interest rates. It was like driving a car with one foot on the gas and the other on the brake. Speculators knew this policy rift existed, forcing Japan to return a month later with massive, expensive "shock and awe" numbers to finally fight the tide and scare off short-sellers.

In 2024, the script completely flipped. First, the massive first round had already cleared out the most aggressive short-yen positions; the market was structurally lighter coming into the summer. Second, and most importantly, the broader macroeconomic backdrop had completely shifted. The BOJ was no longer working against the MOF. Having already ended negative interest rates in March, the July 2024 intervention landed just two weeks before the BOJ hiked rates to 0.25% signaling quantitative tightening and as every trader remembers, what happened next was the carry trade unwind that brought yen to the low 140s.

Instead of fighting the fundamental tide, the MOF used a smaller war chest to amplify it. The intervention created the entry point; the rate hike provided the fundamental anchor. Together, this newly aligned front sent USD/JPY plunging almost 20 figures in a matter of weeks, proving that when monetary policy and FX intervention pull in the same direction, the MOF doesn't need to carry the entire burden on its own balance sheet.

In 2024, the second operation was ¥5.53 trillion against ¥9.79 trillion in the first, roughly half. Apply that to the current cycle and we're looking at somewhere between ¥5 and ¥7 trillion.

The BOJ has its next policy meeting on July 31. If intervention comes mid-July and the BOJ delivers at month-end, that's the 2024 playbook running again, almost to the week.

Where the risks lie

None of this is guaranteed, and a few points could break the thesis.

First, the second round being more effective argument depends heavily on the BOJ following up. The yen carry trade is being driven by a 250-plus basis point gap between US and Japanese rates. No intervention closes that gap. Only the BOJ can, and they are moving slowly.

Second, the record ¥11.73 trillion first round fully retraced in six weeks. That is a signal that markets have gotten better at fading Japanese intervention. If traders have recalibrated their expected duration of intervention effects, the second round may be less durable than 2024 even with a BOJ hike in the mix, leaving a last intervention effort during the September holiday period to cement the direction.

One more thing worth flagging is that this analysis was done with the last two interventions in mind, given they fall 11 years apart from the previous ones. That does not mean the playbook is set to continue, especially considering Japan’s commitment to surprises. It remains to be seen if history repeats itself, rhymes or adds an entirely new chapter.

The bottom line

Japan has a playbook. They have run it twice. They have capacity remaining. The data calendar aligns in mid-July. The BOJ meeting follows two weeks later. The setup is as close to a template repeat as macro gets.

Watch Japan PPI on July 10. Watch US CPI on July 14. If both are constructive for yen strength, the window from July 15 to 17 is live. If the BOJ follows at month-end, the move has legs. If they don't, it's a bounce, same as September 2022.

The stage is set for a massive game of macro chicken, and we’re about to see if Japan can orchestrate a much needed fix or just buy temporary relief.

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